

Standard Operating Procedure

Contract Modifications Review Process

Document ID: SOP-CTR-014 | Version 0.9 (DRAFT) | Effective: TBD | Owner: COR Team

FICTIONAL training sample. Contains no real or sensitive information. Intentionally long for Q&A; and extraction practice.

1. Purpose

This SOP defines the standardized process for reviewing, approving, and documenting contract modifications. It establishes roles, decision thresholds, timelines, and escalation paths so that contractors receive consistent treatment and the program maintains a defensible record for each modification.

2. Scope

Applies to all modification requests on active task orders and delivery orders managed by the program, including pricing changes, scope changes, period-of-performance (PoP) extensions, funding actions, and administrative changes. It does not cover new awards or recompetes.

3. Roles and Responsibilities

Contracting Officer's Representative (COR). Receives the request, performs the in-scope/PWS sanity check, routes for cost analysis, communicates with the contractor, and maintains the file.

Finance. Performs cost analysis, checks the request against budget and ceiling, and flags requests over the \$10,000 threshold or those affecting other budget lines.

Contracts (Contracting Officer). Approves modifications over \$10,000 before they move to Compliance; resolves escalations and disagreements.

Compliance. Reviews every modification; depth and timeline depend on complexity; checks insurance, regulatory constraints, and labor-category/rate mapping.

4. Definitions — Simple vs. Complex

Simple modification: pricing-only changes with no impact to scope, requirements, or delivery timeline. Target Compliance review: 2 business days.

Complex modification: any change to scope, requirements, labor categories, or delivery timeline. Target Compliance review: 5 business days.

5. Process Steps

- 1 COR intake. Contractor submits the modification request using the standard intake form. COR performs the sanity check: is it in scope, and does it align with the PWS?
- 2 Finance review. COR routes to Finance for cost analysis. Finance checks budget and ceiling. If under \$10,000 and within approved budget, Finance flags it ready for review. If over \$10,000 or affecting other budget lines, it routes to Contracts for approval first.
- 3 Decision gate (over \$10,000). Contracts reviews the cost analysis and approves (or returns) before the modification moves to Compliance. Any cap or condition (e.g., limiting a PoP extension) is set here.
- 4 Compliance review. Compliance reviews by complexity (simple vs. complex), checking insurance, regulatory constraints, and labor-category/rate mapping. Conditions (e.g., phased start pending clearances) are documented in the approval.
- 5 Recommendation and notification. Compliance returns the recommendation to the COR. The COR drafts the modification for signature and prepares the contractor notice. Notices are held until any conditions (e.g., security clearances) are satisfied.
- 6 File documentation. The COR documents the decision and rationale in the file, including any option chosen (e.g., 60-day vs. 90-day extension) so the basis is defensible during future recompetes.

6. Decision Points (if/then)

Condition	Action
Under \$10K and within budget	Finance flags ready; COR + Contracts handle
Over \$10K or affects other budget lines	Route to Contracts for approval before Compliance
Pricing-only change	Simple track — Compliance ~2 business days
Scope / requirements / timeline change	Complex track — Compliance ~5 business days
Clearance not yet final	Phase start dates; gate controlled-data access on final clearance
Disagreement between functions	Escalate to Contracts; decision within 2 business days

7. Timelines

Standard modifications: target completion within 2 weeks. Complex modifications: up to 3 weeks. The COR communicates the expected timeline to the contractor at intake.

8. Common Issues & Workarounds

- PoP at risk of lapsing: file a no-cost bridge extension while the modification is processed.
- Ceiling pressure: if a modification pushes obligations near the ceiling, coordinate a separate funding action before obligating.
- Clearance delays: phase analyst start dates; cleared staff begin on award, others on final clearance.

9. Who to Contact

Questions about this process go to the COR team. Escalations and disagreements go to Contracts. Compliance questions go to the Compliance lead.